

Kavitha Precision CNC Engineering Works Pvt. Ltd.

Automotive Machined Fasteners & CNC High-Precision Turned Components

Enterprise Category	Small Manufacturing Enterprise	Date of Incorporation	8th March 2016
Udyam Registration	UDYAM-TN-02-0031854	Operating Location	SIDCO Industrial Estate, Ambattur, Chennai
Primary Activity	Automotive Machining & Spline Shafts	Appraisal Purpose	■35.00 Lakhs 5-Axis CNC Term Loan
Managing Director	R. Senthamarai Kannan (DME, 22 yrs exp)	Banking Partner	Indian Overseas Bank, Ambattur Branch

1. Executive Summary & Manufacturing Profile

Kavitha Precision CNC Engineering Works Pvt. Ltd. is a specialized automotive machining vendor located in the Ambattur industrial belt of Chennai. The company produces high-precision transmission spline shafts, suspension pins, and critical machined fasteners for Tier-1 automotive component conglomerates supplying OEMs such as Hyundai, Royal Enfield, and Ashok Leyland. Audited operational turnover grew from ■140.20 Lakhs (FY23) to ■188.40 Lakhs (FY24), with net profit margin of 6.2% (PAT ■11.68 Lakhs).

The firm plans to acquire an advanced 5-axis CNC machining center (total capital outlay ■52.00 Lakhs) to secure export tier-1 orders. This credit appraisal reviews customer concentration risks, CNC machine idle time, working capital overdraft utilization, and statutory ISO calibration compliance.

[PRELIMINARY RISK OVERVIEW]

APPRAISAL FINDING: Robust tier-1 automotive order book with ■45 Lakhs unbilled purchase orders. Key vulnerability: 46.8% revenue dependency on Lucas-TVS auto cluster and 91% working capital facility utilization.

2. Audited Financial Statements (FY22 - FY24)

Financial Metric (■ Lakhs)	FY 2021-22	FY 2022-23	FY 2023-24	Performance
Operational Revenue	108.50	140.20	188.40	+34.38% YoY
Raw Material Cost (Alloy Steel)	56.40	74.30	98.10	+32.03%
Operating EBITDA	18.40 (16.9%)	24.80 (17.7%)	33.91 (18.0%)	+36.73%
Net Profit After Tax	6.50 (6.0%)	8.60 (6.1%)	11.68 (6.2%)	+35.81%
Tangible Net Worth	34.10	42.70	54.38	Solid
Debt Service Coverage Ratio	1.72x	1.80x	1.88x	Above 1.5x Norm

3. Customer Dependency & Tier-1 Off-taker Concentration

OEM / Tier-1 Vendor	Share (%)	FY24 Value	Terms	Settlement Days
Lucas TVS Automotive Vendor Cluster	46.80%	■88.17 L	45 Days	84 Days Realization
Sundram Fasteners Allied Ancillary	24.50%	■46.16 L	30 Days	52 Days
Brakes India Tier-2 Machining Pool	15.20%	■28.64 L	30 Days	38 Days
General Industrial Machine Shops	13.50%	■25.43 L	15 Days	20 Days

[CUSTOMER CONCENTRATION HAZARD]

CUSTOMER RISK HAZARD: The top tier-1 account commands 46.8% of total billings with an 84-day debtor realization cycle. Cash flow is vulnerable to OEM production line model changes or automotive supply chain strikes.

4. Cash Credit Working Capital Strains

The company holds a sanctioned Cash Credit facility of ₹30.00 Lakhs. Due to 84-day realization delays from Lucas-TVS combined with upfront payments to steel stockists, drawing power utilization has reached 91.0%, leaving a thin liquidity buffer of under ₹2.70 Lakhs.

5. Operational Constraint: CNC Machine Idle Time

Operational bottleneck: CNC machine logs reveal 18% idle time across two 4-axis machining centers. This downtime is caused by a persistent shortage of certified CAM programming technicians and shift machine operators. The inability to operate full 3-shift schedules limits gross shopfloor output and inflates hourly machine overheads.

6. Quality Certification Deficit & Project Capex Gap

Statutory compliance review flags that the periodic NABL calibration certification for precision coordinate measuring machines (CMM) and micrometer gauges expired in August 2024 and is pending renewal. Automotive customers mandate up-to-date NABL audit reports.

The proposed ₹52.00 Lakhs capex requires ₹17.00 Lakhs promoter margin contribution. Committed promoter equity is ₹12.00 Lakhs, creating a promoter equity shortfall of ₹5.00 Lakhs that must be regularized prior to bank sanction letter issuance.

[STRATEGIC REMEDIATION]

RECOMMENDED ACTION BLUEPRINT: 1. Regularize NABL instrument calibration within 15 days; 2. Contract apprenticeship partnership with NTTF/ITI Ambattur to eliminate 18% CNC idle time; 3. Introduce invoice discounting on Lucas-TVS receivables to reduce CC utilization below 70%.